CENTRAL ELECTRICITY REGULATORY COMMISSION

New Delhi

Petition No. 358/TT/2025

Coram:

Shri Ramesh Babu V., Member
Shri Harish Dudani, Member

Date of Order: 10.02.2026

In the matter of:

Approval under Section 62 read with Section 79(1)(d) of the Electricity Act, 2003 read with Regulation 15(1)(a) and Regulation 23 of the Central Electricity Regulatory Commission (Conduct of Business) Regulations, 2023 for truing up of the transmission tariff for the 2019-24 tariff period under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 and determination of the transmission tariff for the 2024-29 tariff period under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024 for the Combined Asset under "**Eastern Region Strengthening scheme-XI" in the Eastern Region**.

And in the matter of:

Power Grid Corporation of India Limited,
"Saudamini", Plot No. 2,
Sector-29, Gurgaon-122001 (Haryana). **…Petitioner**

Versus

1. **Bihar State Power (Holding) Company Limited,**
   Vidyut Bhawan, Bailey Road,
   Patna-800001.

2. **West Bengal State Electricity Distribution Company Limited,**
   Bidyut Bhawan, Bidhan Nagar,
   Block DJ, Sector-II, Salt Lake City,
   Calcutta-700091.

3. **Grid Corporation of Orissa Limited,**
   Shahid Nagar,
   Bhubaneswar-7517001.

4. **Damodar Valley Corporation,**
   DVC Tower, Maniktala,
   Civic Centre, VIP Road,
   Calcutta-700054.

5. **Power Department,**
   Government of Sikkim,

Gangtok-737101.

6. **Jharkhand Bijli Vitran Nigam Limited,**
Engineering Building, H.E.C., Dhurwa,
Ranchi-834004. **…Respondents**

Parties Present : Shri Zafrul Hasan, PGCIL
Ms. Supriya Singh, PGCIL
Ms. Suchitra, PGCIL

ORDER

The instant Petition has been filed by Power Grid Corporation of India Limited (PGCIL), for truing-up of the transmission tariff for the 2019-24 period, under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 (hereinafter referred to as "the 2019 Tariff Regulations"), and for the determination of the transmission tariff for the 2024-29 period under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024 (hereinafter referred to as "the 2024 Tariff Regulations"), in respect of the following transmission assets (hereinafter referred to as the "transmission assets/Combined Asset") **under Eastern Region Strengthening scheme-XI** (hereinafter referred to as the "transmission project") in the Eastern Region:

Asset	Asset Name	COD	Remarks
Combined Asset	**Asset-I:** STATCOM System (+/-) 300 MVAR complete in all respect including Coupling transformer, mechanically switched compensation (2x125 MVAR reactor), cooling system & STATCOM protection / controller etc. at Rourkela Sub-station	30.3.2018	All assets were merged during the 2019-24 tariff period with **Effective-COD (E-COD) 12.8.2018**
	Asset-II: STATCOM System (+/-) 200 MVAR complete in all respect including Coupling transformer, mechanically switched compensation (2x125 MVAR reactor and 2x125 MVAR Capacitor), cooling system & STATCOM protection / controller etc. at Jeypore Sub-station	1.7.2018	
	Asset-III: STATCOM System (+/-) 300 MVAR complete in all respect including Coupling transformer, mechanically switched compensation (2x125 MVAR reactor), cooling system & STATCOM protection / controller etc. at Ranchi Sub-	16.7.2018	

	station		
	Asset-IV: STATCOM System (+/-) 200 MVAR complete in all respect including Coupling transformer, mechanically switched compensation (2x125 MVAR reactor), cooling system & STATCOM protection / controller etc. at Kishanganj Sub-station	16.3.2019	

2. The Petitioner has made the following prayers in the instant Petition:

a) *"Approve the trued-up Transmission Tariff for 2019-24 block and transmission tariff for 2024-29 block for the assets covered under this petition, as per para 15 &18 above.*

b) *Admit the capital cost claimed and additional capitalization incurred during 2019-24 tariff block and 24-29 tariff Block.*

c) *Allow the petitioner to recover the shortfall or refund the excess Annual Fixed Charges, on account of Return on Equity due to change in applicable Minimum Alternate/Corporate Income Tax rate as per the Income Tax Act, 1961 (as amended from time to time) of the respective financial year directly without making any application before the Commission as provided in Tariff Regulations 2019 and Tariff Regulations, 2024 as per para 15&18 above for respective block.*

Further it is submitted that deferred tax liability before 01.04.2009 shall be recoverable from the beneficiaries or long-term customers / DIC, as and when the same materialized as per regulation 67 of 2019 and regulation 89 of 2024 tariff regulation. The petitioner may be allowed to recover the deferred tax liability materialized directly without making any application before the commission as provided in the regulations.

d) *Approve the reimbursement of expenditure by the beneficiaries towards petition filing fee, and expenditure on publishing of notices in newspapers in terms of Regulation 94 (1) Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024, and other expenditure (if any) in relation to the filing of petition.*

e) *Allow the petitioner to bill and recover RLDC fees & charges and Licensee fee separately from the respondents in terms of Regulation 94 (3) and (4) Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024.*

f) *Allow the petitioner to bill and adjust impact on Interest on Loan due to change in Interest rate on account of floating rate of interest applicable during 2024-29 period, if any, from the respondents.*

g) *Allow the petitioner to file a separate petition before the Commission for claiming the overall security expenses and consequential IOWC on that security expenses as mentioned at para 24 above.*

h) *Allow the petitioner to file a separate petition before the Commission for claiming the overall insurance expenses and consequential IOWC on that insurance*

expenses as mentioned at para 24 above.

i) Allow the petitioner to file a separate petition before the Commission for claiming the overall capital spares of tariff block as per actual as mentioned at Para 24 above.

j) Allow the petitioner to claim expenses of CTUIL borne by POWERGRID through a separate petition as mentioned at para 25 above.

k) Allow the Petitioner to bill and recover GST on Transmission Charges separately from the respondents, if GST on transmission is levied at any rate in future. Further, any taxes including GST and duties including cess etc. imposed by any statutory/Govt./municipal authorities shall be allowed to be recovered from the beneficiaries

and pass such other relief as the Commission deems fit and appropriate under the circumstances of the case and in the interest of justice."

Background

3. The brief facts of the case are as follows:

(a) An Enquiry Committee was constituted by the Ministry of Power (MoP) to analyze the causes of the grid disturbances in NEW Grid in July 2012 under the Chairmanship of Chairperson, CEA. The Committee, *inter-alia*, recommended the installation of adequate static and dynamic reactive power compensators to provide the voltage support under the steady state and dynamic conditions.

(b) In view of the above, system studies were carried out jointly by the CEA and the Petitioner to identify/ estimate the dynamic reactive power support requirement. The study results were discussed in various Standing Committee Meetings on Power System Planning of Eastern Region (SCM), TCC and ERPC, wherein, it was decided to provide dynamic reactive compensation at 4 (four) Sub-stations in the Eastern Region viz. Rourkela, Ranchi (New), Kishanganj and Jeypore in the Eastern Region.

(c) The scope of the transmission project was discussed and agreed in the 14th and 15th SCM held on 5.1.2013 and 27.8.2013, respectively, and 25th

meeting of TCC and ERPC held on 20.9.2013 and 21.9.2013, respectively. Further, the transmission project was also discussed and agreed in 28th meeting of TCC and ERPC held on 12.9.2014 and 13.9.2014, respectively.

(d) The Investment Approval (the IA) for implementation of the transmission project was accorded by the Board of Directors of the Petitioner Company vide Memorandum No. C/CP/ERSS-XI dated 9.5.2016 in 328th meeting held on 5.5.2016 for ₹76621.00 lakh having 'Nil' IDC component (based on October 2015 price level).

(e) The scope of the work covered under the transmission project is as follows:

Sub-station	Mechanically Switched Compensation		Dynamic Compensation(STATCOM)
	Reactor x 125 MVAR	Capacitor x 125 MVAR	+/- MVAR
Rourkela	2	0	±300
Ranchi (new)	2	0	±300
Kishanganj	2	2	±200
Jeypore	2	2	±200

(f) As per the IA, the Scheduled Commercial Operation Date (SCOD) of the transmission project was 5.11.2018, against which the actual COD of Asset-I, Asset-II, Asset-III, and Asset-IV were 30.3.2018, 1.7.2018, 16.7.2018, and 16.3.2019, respectively.

(g) The entire scope of the work under the transmission project has been completed. The transmission tariff for (Asset-I and Asset-II) and (Asset-III and Asset-IV) for the period from their respective CODs to 31.3.2019 was allowed vide orders dated 1.11.2019 and 29.3.2020 in Petition No. 173/TT/2018 and Petition No. 272/TT/2018, respectively. The Commission vide order dated 18.10.2021 in Petition No. 658/TT/2020, had trued-up the tariff for the transmission assets for the 2014-19 tariff period

and determined the tariff in respect of the Combined Asset (Asset-I, Asset-II, Asset-III and Asset-IV were combined during the 2019-24 tariff period) for the 2019-24 tariff period.

4. The Respondents, mainly beneficiaries of the Eastern Region, are distribution licensees, transmission licensees, and power departments which are procuring transmission service from the Petitioner.

5. The Petitioner has served a copy of the Petition on the Respondents, and notice regarding the filing of this Petition has also been published in the newspapers in accordance with Section 64 of the Electricity Act, 2003 (the Act). However, no comments or suggestions have been received from the general public in response to the aforesaid notices published in the newspapers. None of the Respondents has filed their reply in the Petition.

6. The hearing in the matter was held on 6.11.2025 and the was reserved. This order is being issued after considering the Petitioner's submissions in the Petition vide affidavit dated 22.10.2024, and additional affidavits of the Petitioner dated 9.9.2025 and 13.11.2025.

7. Having heard the parties and perused the material available on record, we proceed to dispose of the Petition.

TRUING-UP OF ANNUAL FIXED CHARGES FOR THE 2019-24 TARIFF PERIOD

8. The Petitioner has claimed the following transmission charges in respect of the Combined Asset for the 2019-24 tariff period:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	350.40	368.82	378.98	381.56	382.69
Interest on Loan	0.00	0.00	0.00	0.00	0.00
Return on Equity	1157.60	1223.23	1254.94	1257.82	1259.24

O&M Expenses	928.78	961.41	995.10	1030.08	1066.18
Interest on Working Capital	63.15	61.51	59.18	60.58	70.86
Total	**2499.93**	**2614.97**	**2688.20**	**2730.04**	**2778.97**

9. The details of the trued-up Interest on Working Capital (IWC) claimed by the Petitioner in respect of the Combined Asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
O&M Expenses	77.40	80.12	82.93	85.84	88.85
Maintenance Spares	139.32	144.21	149.27	154.51	159.93
Receivables	307.37	322.29	331.42	336.58	341.68
Total Working Capital	**524.09**	**546.72**	**563.62**	**576.93**	**590.46**
Rate of Interest (in %)	12.05	11.25	10.50	10.50	12.00
Interest on Working Capital	**63.15**	**61.51**	**59.18**	**60.58**	**70.86**

Capital Cost for the 2019-24 Tariff Period

10. The Commission, vide order dated 18.10.2021 in Petition No. 658/TT/2020, has allowed the capital cost and ACE in respect of the Combined Asset for the 2019-24 tariff period and the details of same are as under:

(₹ in lakh)

Asset	Capital Cost admitted as on 1.4.2019	ACE allowed for the 2019-24 tariff period					Capital Cost allowed as on 31.3.2024
		2019-20	2020-21	2021-22	2022-23	2023-24	
Combined Asset	5972.06	1449.38	283.46	34.07	0.00	0.00	7738.97

11. In the instant true-up Petition, the Petitioner has claimed the following capital cost and ACE for the 2019-24 tariff period in respect of the Combined Asset:

(₹ in lakh)

Asset	Capital Cost allowed as on 31.3.2019	ACE claimed for the 2019-24 tariff period					Capital Cost as on 31.3.2024
		2019-20	2020-21	2021-22	2022-23	2023-24	
Combined Asset	5972.06	382.59	#316.27	71.23	30.99	19.61	6792.75

Note: *#Capital cost considered for tariff calculation after adjustment of 90% grant. However, total grant received is utilized by the year 2020-21,*
 # The grant for the year 2020-21 is 74.37%.

12. We have considered the Petitioner's submission. It has been observed that the Commission vide order dated 18.10.2021 in Petition No. 658/TT/2020 had approved the capital cost as ₹5972.06 lakh as on 31.3.2019 in respect of the Combined Asset.

Treatment of PSDF Grant

13. The Petitioner has submitted that it has received PSDF grant amounting to ₹58112 lakh (including interest) as on 22.1.2021 and has utilized the grant completely with zero balance. The details of the same are as follows:

(₹ in lakh)

Year	PSDF Grant received upto COD	Interest earned	Total to be adjusted
2016-17	6303.00	-	6303.00
2017-18	10335.00	-	10335.00
2018-19	40531.00	-	40531.00
2019-20	00	302.00	302.00
2020-21	595.00	043.00	638.00
2021-22	00	2.00	2.00
2022-23	00	1.00	1.00
2023-24	00	00	000
Total	**57764.00**	**348.00**	**58112.00**

14. The Petitioner has further submitted that capital cost has been considered after adjustment of the grant up to 90%. However, total grant received was utilized by year 2020-21. During FY 2020-21, the grant was 74.63% only resulting in a shortfall, which was funded through equity. From 2021-22 onwards, the net expenditure was funded through normative loan and equity in the ratio of 70:30. The grant will be adjusted up to 90% of the actual expenditure, to the extent of grant received, and the balance amount, if any, shall be funded through the equity only.

15. We have considered the Petitioner's submissions and it has been observed that the Commission, vide order dated 18.10.2021 in Petition No. 658/TT/2020, had approved the capital cost of ₹5972.06 lakh as on 31.3.2019 after the adjustment of PSDF grant ₹53751.05 lakh received by the Petitioner. The details of same are as

follows:

(₹ in lakh)

Assets	Grant adjusted upto COD	Grant adjusted in 2018-19	Total Grant adjusted upto 31.3.2019
Asset-I	9461.83	3587.54	13049.37
Asset-II	7969.26	5419.44	13388.70
Asset-III	8847.04	5678.11	14525.15
Asset-IV	10854.60	1933.23	12787.83
Total	**37132.73**	**16618.32**	**53751.05**

16. However, in the instant Petition, the Petitioner has submitted the details of the PSDF grant received in the successive years. It is observed that, as per details submitted by the Petitioner, the total PSDF grant received by the Petitioner up to 31.3.2019 amounts to ₹57169.00 lakhs. The detail of same is as follows:

(₹ in lakh)

Particulars	PSDF Grant received upto the COD
2016-17	6303.00
2017-18	10335.00
2018-19	40531.00
Total	**57169.00**

17. Accordingly, it has been observed that the Commission vide order dated 18.10.2021 in Petition No. 658/TT/2020 had adjusted the PSDF grant amounting to ₹53751.05 lakh up to 31.3.2019. However, as per the details submitted in the instant Petition, the Petitioner has actually received PSDF grant of ₹57169.00 lakh up to 31.3.2019, which is higher by ₹3417.95 lakh (₹57169.00 lakh - ₹53751.05 lakh) than the grant amount already adjusted by the Commission.

18. Regulation 19(5)(e) of the 2019 Tariff Regulation provides as follows:

> *"19(5) The Following shall be excluded from the capital cost of the existing and new Projects:*
>
> *……*
>
> *(e) Any grant received from the Central and State Government or any statutory body or authority for the execution of the project which does not carry any liabilities of repayment."*

19. Therefore, in view of the above and as per Regulation 19(5)(e) of 2019 Tariff Regulations, the differential amount of actual PSDF grant received by the Petitioner upto 31.3.2019 i.e. ₹3417.95 lakh shall be deducted from the opening capital cost of the Combined Asset.

20. Therefore, the details of the capital cost as on 1.4.2019 in respect of Combined Asset is as follows:

(₹ in lakh)

Asset	Capital Cost as on 31.3.2019	Adjustment of differential amount of PSDF grant	Capital Cost as on 1.4.2019
Combined Asset	5972.06	3417.95	2554.11

Additional Capital Expenditure (ACE)

21. The Commission vide order dated 18.10.2021 in Petition No. 658/TT/2020 had approved the following ACE under Regulations 24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations for the Combined Asset for 2019-24 tariff period:

(₹ in lakh)

Particulars	ACE allowed for the 2019-24 tariff period				
	2019-20	2020-21	2021-22	2022-23	2023-24
Undischarged liabilities recognized to be payable at a future date and Works deferred for execution within the cut-off date	1449.38	283.46	34.07	0.00	0.00

22. In the instant Petition, the Petitioner has claimed the following ACE with respect to the Combined Asset based on the actual expenditure in accordance with Regulations 24(1)(a) and 25(1)(d) of the 2019 Tariff Regulations:

(₹ in lakh)

Asset	Particulars	ACE claimed for 2019-24	Claimed under Regulation
Combined Asset	Expenditure as per Auditor's Certificate	3825.87	
	Less: Grant received during the year	3443.28	
	Total ACE claimed (2019-20)	**382.59**	**24(1)(a)**
	Expenditure as per Auditor's	1233.94	

	Certificate		
	Less: Grant received during the year	917.67	
	Total ACE claimed (2020-21)	**316.27**	**24(1)(a)**
	Expenditure as per Auditor's Certificate	71.23	
	Less: Grant received during the year	0.00	
	Total ACE claimed (2021-22)	**71.23**	**25(1)(d)**
	Expenditure as per Auditor's Certificate	30.99	
	Less: Grant received during the year	0.00	
	Total ACE claimed (2022-23)	**30.99**	**25(1)(d)**
	Expenditure as per Auditor's Certificate	19.61	
	Less: Grant received during the year	0.00	
	Total ACE claimed (2023-24)	**19.61**	**25(1)(d)**

23. The Petitioner has submitted that the primary reason for variations in the approved ACE and actual ACE is that while projecting the estimated ACE, the contracts were not closed and the liabilities were not finalized. However, in the instant true-up Petition, the Petitioner has claimed ACE on the basis of actual payments made to the vendor, after receipt of the final invoices, incorporating the amendments, and after due reconciliation in accordance with the contractual provisions.

24. The Petitioner in the instant true-up Petition has also submitted the following Liability Flow Statement in respect of the transmission assets:

Asset-I

(₹ in lakh)

Party	Particulars	Outstanding Liability as on 31.3.2019	Discharge of Liability						Outstanding Liability as on 31.3.2024
			2019-20	2020-21	2021-22	2022-23	2023-24	Total (19-24)	
SIEMENS	Sub-station	871.45	628.82	242.63	0	**0**	**0**	**871.45**	-
3d Fire & Safety Pvt. Ltd.	Sub-station	58.71	28.62	29.95	0.14	0	**0**	**58.71**	-
GE T&D	Sub-station	9.85	4.70	3.11	1.37	0	0.67	**9.85**	-
Omicron Energy Solutions Pvt. Ltd	Sub-station	7.99	7.99	-	0	0	**0**	**7.99**	-
Radiant Agencies	Sub-station	0.15	0.15	-	0	0	**0**	**0.15**	-
Total		**948.15**	**670.28**	**275.69**	**1.51**	**0.00**	**0.67**	**948.15**	**0.00**

Asset-II

(₹ in lakh)

Party	Particulars	Outstanding Liability as on 31.3.2019	Discharge of Liability						Outstanding Liability as on 31.3.2024
			2019-20	2020-21	2021-22	2022-23	2023-24	Total (19-24)	

Party	Particulars	Outstanding Liability as on 31.3.2019	Discharge of Liability						Outstanding Liability as on 31.3.2024
SIEMENS	Sub-station	1645.12	1378.60	266.52	0.00	0.00	0.00	**1645.12**	-
Ganesh Patanaik	Sub-station	38.26	13.48	0.00	19.29	5.49	0.00	**38.26**	-
GE T&D	Sub-station	9.75	4.70	3.11	1.38	0.00	0.56	**9.75**	-
Omicron Energy Solutions Pvt. Ltd	Sub-station	7.96	7.96	0.00	0.00	0.00	0.00	**7.96**	-
K V Ramana Reddy	Sub-station	37.99	0.00	37.99	0.00	0.00	0.00	**37.99**	-
Gouranga Panigrahi	Sub-station	28.23	0.00	0.00	7.24	6.21	14.78	**28.23**	-
Total		**1767.31**	**1404.74**	**307.62**	**27.91**	**11.70**	**15.34**	**1767.31**	**0.00**

Asset-III

(₹ in lakh)

Particulars	Outstanding Liability as on 31.3.2019	Discharge of Liability						Outstanding Liability as on 31.3.2024
		2019-20	2020-21	2021-22	2022-23	2023-24	Total (19-24)	
Sub-station	467.94	590.02	431.01	40.50	18.45	3.60	460.04	7.90

Asset-IV

(₹ in lakh)

Particulars	Outstanding Liability as on 31.3.2019	Discharge of Liability						Outstanding Liability as on 31.3.2024
		2019-20	2020-21	2021-22	2022-23	2023-24	Total (19-24)	
Sub-station	1382.60	1160.83	219.62	1.31	0.84	-	1382.60	-

25. In response to the Commission's queries, the Petitioner vide affidavit dated 9.9.2025 has reiterated its submission made in the instant Petition and further submitted that the variation in the cost is on the account of price difference from the time of approval of project till award of various contracts, based on competitive prices discovered through competitive bidding. The Petitioner has submitted that, through an open competitive bidding process, the lowest possible market prices for required product and services based on detailed design, were obtained and contracts were awarded to the lowest evaluated eligible bidder on overall basis. The Petitioner has further submitted that the best competitive bid prices against tenders may vary as compared to the cost estimate depending upon prevailing market condition, design and site requirements, whereas, the estimates are prepared by the Petitioner as per well-defined procedures. The FR cost estimate is a broad indicative cost, worked out generally on the basis of average unit rates of recently awarded contracts.

26. The Petitioner has also submitted that no amount has been recovered as liquidated damages (LD) and requested to allow the actual ACE incurred during the

2019-24 tariff period for the Combined Asset.

27. We have considered the submissions of the Petitioner and it has been observed that the Commission vide order dated 18.10.2021 in Petition No. 658/TT/2020, had approved the capital cost of ₹5972.06 lakh as on 31.3.2019 after the adjustment of PSDF grant of ₹53751.05 lakh received by the Petitioner and had allowed only 30% of ACE for the 2019-24 tariff period due to the absence of relevant information regarding PSDF grant received. The details of the same are as under:

(₹ in lakh)

Capital Cost admitted as on 1.4.2019	ACE Claimed during 2019-24 tariff period			Capital Cost allowed as on 31.3.2024
	2019-20	2020-21	2021-22	
5972.06	1449.38	283.46	34.07	7738.97

28. However, in the instant Petition, the Petitioner has submitted that the actual grant received is ₹57169.00 lakh, i.e., Rs.3417.95 lakh more than the already adjusted grant value by the Commission vide the aforesaid order. Therefore, the differential amount of PSDF grant received of ₹3417.95 lakh shall be deducted from the opening capital cost and the same differential amount shall be adjusted in the ACE for 2019-24 tariff period in respect of the Combined Asset.

29. Accordingly, the ACE for the 2019-24 tariff period as per the actual PSDF grant received as submitted by the Petitioner in the instant Petition, are as follows:

(₹ in lakh)

Asset	Particulars	ACE Claimed	ACE as per actual grant received	Adjusted in ACE (Allowed / Claimed)
Combined Asset	Expenditure as per Auditor's Certificate	3825.87	3825.87	
	Less: Grant received during the year	3443.28	302.00	
	Total ACE (2019-20)	**382.59**	**3523.87**	**3141.28**
	Expenditure as per Auditor's Certificate	1233.94	1233.94	
	Less: Grant received during the year	917.67	638.00	

	Total ACE (2020-21)	**316.27**	**595.94**	**279.67**
	Expenditure as per Auditor's Certificate	71.23	71.23	
	Less: Grant received during the year	0.00	2.00	
	Total ACE (2021-22)	**71.23**	**69.23**	**(2.00)**
	Expenditure as per Auditor's Certificate	30.99	30.99	
	Less: Grant received during the year	0.00	1.00	
	Total ACE (2022-23)	**30.99**	**29.99**	**(1.00)**
	Expenditure as per Auditor's Certificate	19.61	19.61	
	Less: Grant received during the year	0.00	0.00	
	Total ACE (2023-24)	**19.61**	**19.61**	**0.00**
	Total	**820.69**	**4238.64**	**3417.95**

30. The E-COD of the Combined Asset is approved as 12.8.2018 vide order dated.18.10.2021 in the Petition No. 658/TT/2020 and the cut-off date works out to be 31.3.2022. The ACE claimed by the Petitioner for the Combined Asset upto the cut-off date is allowed under Regulation 24(1)(a) of the 2019 Tariff Regulations on undischarged liabilities recognized to be payable at a future date. The ACE claimed by the Petitioner in case of the Combined Asset after the cut-off date is allowed under Regulation 25(1)(d) of the 2019 Tariff Regulations for liability of works executed prior to the cut-off date. The ACE allowed is as under:

(₹ in lakh)

Asset	**ACE allowed for (2019-24)**					**Total ACE**
	2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**	
Combined Asset	3523.87	595.94	69.23	29.99	19.61	4238.64

31. Accordingly, the capital cost and ACE allowed with respect to the Combined Asset for the 2019-24 tariff period is as follows:

(₹ in lakh)

Assets	**FR Apportioned Approved Cost**	**Expenditure as on 31.3.2019 on the basis received on actual basis of PSDF Grant**	**Admitted ACE after the adjustment of PSDF Grant received on actual basis**	**Actual Capital Cost as on 31.3.2024 net of PSDF Grant**

			2019-24	
Combined Asset	76621.00	2554.11	4238.64	6792.75

Debt-Equity Ratio

32. The details of the debt-equity ratio considered and allowed under Regulation 18 of the 2019 Tariff Regulations for computation of the tariff in respect of the Combined Asset during the 2019-24 tariff period are as follows:

Funding	Capital Cost as on 1.4.2019 net of PSDF Grant		ACE during the 2019-24 tariff period net of PSDF Grant	Capital Cost as on 31.3.2024 net of PSDF Grant	
	(₹ in lakh)	(in %)	(₹ in lakh)	(₹ in lakh)	(in %)
Debt	0.00	0.00	13.73	13.73	0.20
Equity	2554.11	100.00	4224.91	6779.02	99.80
Total	**2554.11**	**100.00**	**4238.64**	**6792.75**	**100.00**

Depreciation

33. The depreciation has been worked out considering the admitted capital expenditure as on 1.4.2019 and, thereafter, up to 31.3.2024. The Weighted Average Rate of Depreciation (WAROD), has been worked out for the Combined Asset as per the rates of depreciation specified in the 2019 Tariff Regulations. Accordingly, the depreciation allowed in respect of the Combined Asset is as follows:

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Opening Gross Block	2554.11	6077.98	6673.92	6743.15	6773.14
B	Addition during the year 2019-24 due to ACE	3523.87	595.94	69.23	29.99	19.61
C	Closing Gross Block (A+B)	6077.98	6673.92	6743.15	6773.14	6792.75
D	Average Gross Block (A+C)/2	4316.05	6375.95	6708.54	6758.15	6782.95
E	Average Gross Block (90% depreciable assets)	4197.87	6257.77	6590.36	6639.97	6664.77
F	Average Gross Block (100% depreciable assets)	118.18	118.18	118.18	118.18	118.18
G	Depreciable value (excluding IT equipment and software) (E*90%)	3778.08	5632.00	5931.32	5975.97	5998.29
H	Depreciable value of IT equipment and software (F*100%)	118.18	118.18	118.18	118.18	118.18
I	Total Depreciable Value (G+H)	3896.26	5750.17	6049.50	6094.15	6116.47
J	Weighted average rate of Depreciation (WAROD) (in %)	5.52	5.44	5.43	5.43	5.43
K	Lapsed useful life at the beginning	0.00	1.00	2.00	3.00	4.00

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
	of the year (Year)					
L	Balance useful life at the beginning of the year (Year)	24.00	23.00	22.00	21.00	20.00
M	**Depreciation during the year (D*J)**	**238.36**	**346.91**	**364.41**	**366.90**	**368.01**
N	Cumulative Depreciation at the end of the year	402.06	748.98	1113.39	1480.29	1848.29
O	Remaining Aggregate Depreciable Value at the end of the year	3494.19	5001.19	4936.11	4613.86	4268.18

34. The details of the depreciation allowed vide order dated 18.10.2021 in Petition No. 658/TT/2020 for the Combined Asset, depreciation claimed in the instant Petition, and trued-up depreciation approved in respect of the Combined Asset in the instant order are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 18.10.2021 in Petition No. 658/TT/2020	378.56	424.28	432.66	433.56	433.56
Claimed by the Petitioner in the instant Petition	350.40	368.82	378.98	381.56	382.69
Approved after truing-up in this order	238.36	346.91	364.41	366.90	368.01

Interest on Loan (IoL)

35. The Petitioner has not claimed IoL considering PSDF grant. As the balance amount after reducing the grant is being treated as equity, hence, there is no IoL for the Combined Asset.

Return on Equity (RoE)

36. The Petitioner has submitted that its Income Tax Assessment has been completed, and the assessment orders have been issued by the Income Tax Department for FY 2019-20 and FY 2020-21 and the income has been assessed under MAT [115JB of the Income Tax Act, 1961 (IT Act, 1961)]. The Petitioner has further submitted that the Income Tax Returns (ITRs) have been filed for FYs 2021-22, 2022-23 and the Income Tax Return for FY 2023-24 will be filed in due course.

37. The Petitioner has further submitted that it is liable to pay the income tax at MAT rates (17.472, i.e., 15% Income Tax + 12% Surcharge on Income Tax + 4% Health and Education Cess on Income Tax and Surcharge) and has claimed the following effective tax rates for the 2019-24 tariff period:

Year	Claimed effective tax rate (in %)	Grossed-up RoE (in %) [(Base Rate)/(1-t)]
2019-20	17.472	18.782
2020-21	17.472	18.782
2021-22	17.472	18.782
2022-23	17.472	18.782
2023-24	17.472	18.782

38. We have considered the Petitioner's submissions and have also gone through the record. We note that the entities covered under the MAT regime are paying Income Tax as per the MAT rates notified for the respective financial year under the IT Act, 1961, which is levied on the book profit of the entity computed as per Section 115 JB of the IT Act, 1961. Section 115 JB (2) defines book profit as net profit in the Statement of Profit and Loss prepared in accordance with Schedule-III of the Companies Act, 2013 subject to some additions and deductions as mentioned in the IT Act, 1961. Since the Petitioner has been paying the MAT rates of the respective financial year, the notified MAT rates for the respective financial year shall be considered as an effective tax rate for the purpose of grossing up of the RoE for truing up of the 2019-24 tariff period in terms of the provisions of the 2019 Tariff Regulations. Interest imposed on any additional income tax demand as per the Assessment Order of the Income Tax Authorities shall be considered on the actual payment. However, the penalty (for default on the part of the Assessee), if any, imposed shall not be taken into account for the purpose of grossing up the rate of RoE. Any under-recovery or over-recovery of the grossed-up rates on the RoE after truing up, shall be recovered or refunded to the beneficiaries or the long-term customers, as the case may be, on a year-to-year basis.

Therefore, the following effective tax rate based on the notified MAT rates are considered for the purpose of grossing up the rate of RoE:

Year	Notified MAT rates (in %) (inclusive of surcharge & cess)	Effective tax 't'(in %)	Base rate of RoE (in %)	Grossed-up RoE [(Base Rate)/(1-t)] (in%)
2019-20	17.472	17.472	15.50	18.782
2020-21	17.472	17.472	15.50	18.782
2021-22	17.472	17.472	15.50	18.782
2022-23	17.472	17.472	15.50	18.782
2023-24	17.472	17.472	15.50	18.782

39. Accordingly, the trued-up RoE allowed in respect of the Combined Asset for the 2019-24 tariff period are as follows:

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Opening Equity	2554.11	6077.98	6673.92	6743.15	6773.14
B	Addition due to ACE	3523.87	595.94	69.23	29.99	5.88
C	Closing Equity (A+B)	6077.98	6673.92	6743.15	6773.14	6779.02
D	Average Equity (A+C)/2	4316.05	6375.95	6708.54	6758.15	6776.08
E	Return on Equity (Base Rate) (in %)	15.50	15.50	15.50	15.50	15.50
F	Tax Rate applicable (in %)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**810.64**	**1197.53**	**1260.00**	**1269.31**	**1272.68**

40. The details of the RoE allowed vide order 18.10.2021 in Petition No. 658/TT/2020 for the Combined Asset, RoE claimed in the instant Petition, and trued-up RoE approved in the instant order in respect of the Combined Asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 18.10.2021 in Petition No. 658/TT/2020	1257.78	1420.52	1450.33	1453.53	1453.53
Claimed by the Petitioner in the instant Petition	1157.60	1223.23	1254.94	1257.82	1259.24
Approved after truing-up in this order	810.64	1197.53	1260.00	1269.31	1272.68

Operation & Maintenance Expenses (O&M Expenses)

41. The Commission, vide order dated 18.10.2021 in Petition No. 658/TT/2020 had allowed the following O&M Expenses in respect of the Combined Asset for the 2019-24 tariff period:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
O&M Expenses	938.86	971.81	1005.92	1041.23	1077.78

42. The Petitioner has claimed the following O&M Expenses for the 2019-24 tariff period:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Total O&M Expenses	928.78	961.41	995.10	1030.08	1066.18

43. We have considered the Petitioner's submissions. It has been observed that the plant and machinery cost submitted by the Petitioner in Form-2 is ₹61918.77 lakh, whereas, the plant and machinery cost upto the cut-off date works out to be ₹ 62440.35 lakh considering the adjusted PSDF grant in ACE. The O&M Expenses claimed by the Petitioner in the instant true-up Petition are as per Regulation 35(3) of the 2019 Tariff Regulations. The O&M Expenses worked out in respect of the Combined Asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
STATCOM at Ranchi, Jeypore, Kishanganj and Rourkela					
Original Project Cost (₹ lakh)	62440.35	62440.35	62440.35	62440.35	62440.35
Norms (in %)	1.5000	1.5527	1.6071	1.6636	1.7219
Total O&M Expenses	**936.61**	**969.48**	**1003.51**	**1038.73**	**1075.19**

44. Accordingly, the details of the O&M Expenses allowed vide order dated 18.10.2021 in Petition No. 658/TT/2020 for the Combined Asset, O&M Expenses claimed in the instant Petition, and trued-up O&M Expenses approved in the instant order in respect of the Combined Asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 18.10.2021 in Petition No. 658/TT/2020	938.86	971.81	1005.92	1041.23	1077.78
Claimed by the Petitioner in the instant Petition.	928.78	961.41	995.10	1030.08	1066.18
Approved after truing-up in this order	936.61	969.48	1003.51	1038.73	1075.19

Interest on Working Capital (IWC)

45. The IWC has been worked out in accordance with Regulation 34 of the 2019 Tariff Regulations. The Rate of Interest (RoI) considered is 12.05% (SBI 1-year MCLR applicable as on 1.4.2019 of 8.55% plus 350 basis points) for FY 2019-20, 11.25% (SBI 1-year MCLR applicable as on 1.4.2020 of 7.75% plus 350 basis points) for FY 2020-21, 10.50% (SBI 1-year MCLR applicable as on 1.4.2021 of 7.00% plus 350 basis points) for FY 2021-22 and FY 2022-23 and 12.00% (SBI 1 year MCLR applicable as on 1.4.2023 of 8.50% plus 350 basis points) for FY 2023-24.

46. The components of the working capital and interest allowed thereon for the Combined Asset are as follows:

(₹ in lakh)

Sl. No.	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
A	Working Capital for O&M Expenses (O&M Expenses for one month)	78.05	80.79	83.63	86.56	89.60
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	140.49	145.42	150.53	155.81	161.28
C	Working Capital for Receivables (Equivalent to 45 days of annual fixed cost /annual transmission charges)	251.09	317.48	331.31	337.29	342.68
D	Total Working Capital (A+B+C)	469.63	543.69	565.46	579.66	593.56
E	Rate of Interest for working capital (in %)	12.05	11.25	10.50	10.50	12.00
F	**Interest on Working Capital (D*E)**	**56.59**	**61.17**	**59.37**	**60.86**	**71.23**

47. The details of the IWC allowed vide order dated 18.10.2021 in Petition No. 658/TT/2020 for the Combined Asset, IWC claimed in the instant Petition, and trued-up IWC approved in the instant order in respect of the Combined Asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 18.10.2021 in Petition No. 658/TT/2020	65.52	65.48	62.86	64.25	65.53
Claimed by the Petitioner in the instant Petition.	63.15	61.51	59.18	60.58	70.86
Approved after truing-up in this order	56.59	61.17	59.37	60.86	71.23

Trued-up Annual Fixed Charges for the 2019-24 Tariff Period

48. Accordingly, the trued-up Annual Fixed Charges (AFC) allowed for the 2019-24 tariff period in respect of the Combined Asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	238.36	346.91	364.41	366.90	368.01
Interest on Loan	-	-	-	-	-
Return on Equity	810.64	1197.53	1260.00	1269.31	1272.68
O&M Expenses	936.61	969.48	1003.51	1038.73	1075.19
Interest on Working Capital	56.59	61.17	59.37	60.86	71.23
Total	**2042.20**	**2575.09**	**2687.29**	**2735.81**	**2787.11**

49. The details of annual transmission charges allowed vide order dated 18.10.2021 in Petition No. 658/TT/2020 for the Combined Asset, annual transmission charges claimed in the instant Petition and trued-up annual transmission charges approved in the instant order in respect of the Combined Asset are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 18.10.2021 in Petition No. 658/TT/2020	2640.72	2882.09	2951.77	2992.57	3030.40
Claimed by the Petitioner in the instant Petition	2499.93	2614.97	2688.20	2730.04	2778.97
Approved after truing-up in this order	2042.20	2575.09	2687.29	2735.81	2787.11

DETERMINATION OF THE ANNUAL FIXED CHARGES FOR THE 2024-29 TARIFF PERIOD

50. The Petitioner has claimed the following transmission charges in respect of the Combined Asset for the 2024-29 tariff period:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
Depreciation	383.26	360.11	342.02	342.02	342.02
Interest on Loan	-	-	-	-	-
Return on Equity	1260.02	1260.24	1260.24	1260.24	1260.24
O&M Expenses	1087.74	1145.64	1204.18	1266.69	1336.34
Interest on Working Capital	71.32	73.47	75.72	78.29	81.41
Total	**2802.34**	**2839.46**	**2882.16**	**2947.24**	**3020.01**

51. The details of IWC claimed by the Petitioner for the 2024-29 tariff period for the Combined Asset is as under:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
O&M Expenses	90.65	95.47	100.35	105.56	111.36
Maintenance Spares	163.16	171.85	180.63	190.00	200.45
Receivables	345.49	350.07	355.33	362.37	372.33
Total Working Capital	**599.30**	**617.39**	**636.31**	**657.93**	**684.14**
Rate of Interest (in %)	11.90	11.90	11.90	11.90	11.90
Interest on Working Capital	**71.32**	**73.47**	**75.72**	**78.29**	**81.41**

Capital Cost

52. Regulation 19 of the 2024 Tariff Regulations provides as follows:

*"**19. Capital Cost**: (1) The Capital cost of the generating station or the transmission system, as the case may be, as determined by the Commission after prudence checks in accordance with these regulations shall form the basis for the determination of tariff for existing and new projects.*

(2) The Capital Cost of a new project shall include the following:

(a) The expenditure incurred or projected to be incurred up to the date of commercial operation of the project;

(b) Interest during construction and financing charges, on the loans (i) being equal to 70% of the funds deployed and, in the event actual equity is in excess of 30% on a pari-passu basis, by treating the excess equity over and above 30% of the funds deployed as a normative loan, or (ii) being equal to the actual amount of the loan in the event of actual equity being less than 30% of the funds deployed;

(c) Any gain or loss on account of foreign exchange risk variation pertaining to the loan amount availed during the construction period;

(d) Interest during construction and incidental expenditure during construction as computed in accordance with these regulations;

(e) Capitalised initial spares subject to the ceiling rates in accordance with these regulations;

(f) Expenditure on account of additional capitalization and de-capitalisation determined in accordance with these regulations;

(g) Adjustment of revenue due to the sale of infirm power in excess of fuel cost prior to the date of commercial operation as specified under Regulation 6 of these regulations;

(h) Adjustment of revenue earned by the transmission licensee by using the assets before the date of commercial operation;

(i) Capital expenditure on account of ash disposal and utilization including handling and transportation facility;

(j) Capital expenditure incurred towards railway infrastructure and its augmentation for transportation of coal up to the receiving end of the generating station but does not include the transportation cost and any other appurtenant cost paid to the railway;

(k) Capital expenditure on account of biomass handling equipment and facilities, for co-firing;

(l) Capital expenditure on account of emission control system necessary to meet the revised emission standards and sewage treatment plant;

(m) Expenditure on account of the fulfilment of any conditions for obtaining environment clearance for the project;

(n) Expenditure on account of change in law and force majeure events; and

(o) ……..

(p) ……..

(3) The Capital cost of an existing project shall include the following:
(a) Capital cost admitted by the Commission prior to 1.4.2024 duly trued up by excluding liability, if any, as on 1.4.2024;
(b) Additional capitalization and de-capitalization for the respective year of tariff as determined in accordance with these regulations;
(c) Capital expenditure on account of renovation and modernisation as admitted by this Commission in accordance with these regulations;
(d) to (h) ……..
(i) Expenditure on account of change in law and force majeure events;

(4) ……..

(5) ……..

(6) The following shall be excluded from the capital cost of the existing and new projects:

(a) The assets forming part of the project but not in use, as declared in the tariff petition;
(b) De-capitalised Assets after the date of commercial operation on account of obsolescence;
(c) De-capitalised Assets on account of upgradation or shifting from one project to another project:
Provided that in case such an asset is recommended for further utilisation by the Regional Power Committee in consultation with CTU, such asset shall be de-capitalised from the original project only after its redeployment;
Provided further that unless shifting of an asset from one project to another is of a permanent nature, there shall be no de-capitalization of the concerned assets.
(d) ……..
(e) Proportionate cost of land of the existing generation or transmission project, as the case may be, which is being used for generating power from a generating station based on renewable energy as may be permitted by the Commission; and
(f) Any grant received from the Central or State Government or any statutory body or authority for the execution of the project that does not carry any liability of repayment."

53. The Petitioner has claimed the following capital cost for the Combined Asset during the 2024-29 tariff period:

(₹ in lakh)

Asset	Capital Cost admitted as on 31.3.2024	Projected ACE for 2024-29 period	Capital Cost as on 31.3.2029
Combined Asset	6792.75	7.90	6800.65

54. The capital cost of ₹6792.75 lakh has been considered by the Commission for the Combined Asset as on 31.3.2024 in the instant order. Therefore, the capital cost of ₹6792.75 lakh as on 31.3.2024 has been considered as the opening capital cost as on

1.4.2024 for the purpose of determination of the transmission tariff for the 2024-29 period in accordance with Regulation 19 of the 2024 Tariff Regulations.

Additional Capital Expenditure

55. Regulations 24 and 25 of the 2024 Tariff Regulations provides as under:

> ***24. Additional Capitalisation within the original scope and up to the cut-off date***
> *(1) The additional capital expenditure in respect of a new project or an existing project incurred or projected to be incurred, on the following counts within the original scope of work, after the date of commercial operation and up to the cut-off date may be admitted by the Commission, subject to prudence check:*
> *(a) Payment made towards admitted liabilities for works executed up to the cut-off date;*
> *(b) Works deferred for execution;*
> *(c) Procurement of initial capital spares within the original scope of work, in accordance with the provisions of Regulation 23 of these regulations;*
> *(d) Payment against the award of arbitration or for compliance with the directions or order of any statutory authority or order or decree of any court of law;*
> *(e) Change in law or compliance with any existing law which is not provided for in the original scope of work;*
> *……..*
>
> *(2) The generating company or the transmission licensee, as the case may be shall submit the details of works asset wise/work wise included in the original scope of work along with estimates of expenditure, liabilities recognized to be payable at a future date and the works deferred for execution.*
>
> ***25. Additional Capitalisation within the original scope and after the cut-off date***
>
> *(1) The additional capital expenditure incurred or projected to be incurred in respect of an existing project or a new project on the following counts within the original scope of work and after the cut-off date may be admitted by the Commission, subject to prudence check:*
> *(a) Payment made against award of arbitration or for compliance with the directions or order of any statutory authority; or order or decree of any court of law;*
> *(b) Change in law or compliance of any existing law which is not provided for in the original scope of work;*
> *(c) Deferred works relating to ash pond or ash handling system or raising of ash dyke in the original scope of work;*
> *(d) Payment made towards liability admitted for works within the original scope executed prior to the cut-off date;*
> *(e) Force Majeure events;*
> *(f) Works within original scope executed after the cut-off date and admitted by the Commission, to the extent of actual payments made; and*
>
> *(2) In case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission, after making necessary adjustments in the gross fixed assets and*

the cumulative depreciation, subject to prudence check on the following grounds:

(a) Assets whose useful life is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these regulations;
(b) The replacement of the asset or equipment is necessary on account of change in law or Force Majeure conditions;
(c) The replacement of such asset or equipment is necessary on account of obsolescence of technology; and
(d) The replacement of such asset or equipment has otherwise been allowed by the Commission.

Provided that any claim of additional capitalization with respect to the replacement of assets under the original scope and on account of obsolescence of technology, less than ₹ 20 lakhs shall not be considered as part of Capital cost and shall be met through normative O&M expenses."

56. The Petitioner has claimed the ACE of ₹7.90 lakh in respect of the Combined Asset for the 2024-29 tariff period as under:

(₹ in lakh)

Particulars	**ACE Claimed during 2024-29 tariff period**				
	2024-25	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Liability for works executed prior to the cut-off date	7.90	0.00	0.00	0.00	0.00
Regulation	**25(1)(d)**				

57. The Petitioner has submitted the Liability Flow Statement for the 2024-29 period as under:

(₹ in lakh)

Particulars	**Particulars (Transmission Line/Sub-station)**	**Discharge**
		2024-25
Asset-III	Sub-station	7.90
Total		**7.90**

58. We have considered the Petitioner's submissions and have allowed the ACE on account of liability/retention payments for works within the original scope and executed prior to the cut-off date in accordance with Regulation 25(1)(d) of the 2024 Tariff Regulation, as under:

(₹ in lakh)

Particulars	**ACE allowed for (2024-29)**				
	2024-25	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Liability for works executed prior to the cut-off date	7.90	0.00	0.00	0.00	0.00
Regulation	**25(1)(d)**				

59. Accordingly, the capital cost allowed in respect of the Combined Asset as on

31.3.2024 and as on 31.3.2029 are as follows:

(₹ in lakh)

FR Apportioned Approved Cost	Capital Cost as on 31.3.2024	Allowed Projected ACE for 2024-29 Tariff Period	Capital Cost as on 31.3.2029
76621.00	6792.75	7.90	6800.65

Debt Equity Ratio

60. Regulation 18 of the 2024 Tariff Regulations provides as follows:

*"**18. Debt-Equity Ratio**: (1) For new projects, the debt-equity ratio of 70:30 as on date of commercial operation shall be considered. If the equity actually deployed is more than 30% of the capital cost, equity in excess of 30% shall be treated as normative loan:*

Provided that:

i. where equity actually deployed is less than 30% of the capital cost, actual equity shall be considered for determination of tariff:
ii. the equity invested in foreign currency shall be designated in Indian rupees on the date of each investment:
iii. any grant obtained for the execution of the project shall not be considered as a part of capital structure for the purpose of debt: equity ratio.

***Explanation-** The premium, if any, raised by the generating company or the transmission licensee, as the case may be, while issuing share capital and investment of internal resources created out of its free reserve for the funding of the project, shall be reckoned as paid up capital for the purpose of computing return on equity, only if such premium amount and internal resources are actually utilized for meeting the capital expenditure of the generating station or the transmission system.*
(2) The generating company or the transmission licensee, as the case may be, shall submit the resolution of the Board of the company or the approval of the competent authority in other cases regarding the infusion of funds from internal resources in support of the utilization made or proposed to be made to meet the capital expenditure of the generating station or the transmission system including communication system, as the case may be.

(3) In the case of the generating station and the transmission system, including the communication system declared under commercial operation prior to 1.4.2024, the debt-equity ratio allowed by the Commission for the determination of tariff for the period ending 31.3.2024 shall be considered:

Provided that in the case of a generating station or a transmission system, including a communication system which has completed its useful life as on 1.4.2024 or is completing its useful life during the 2024-29 tariff period, if the equity actually deployed is more than 30% of the capital cost, equity in excess of 30% shall not be taken into account for tariff computation;

Provided further that in case of projects owned by Damodar Valley Corporation, the debt: equity ratio shall be governed as per sub-clause (ii) of clause (2) of Regulation 96 of these regulations.

(4) In the case of the generating station and the transmission system, including communication system declared under commercial operation prior to 1.4.2024, but where debt: equity ratio has not been determined by the Commission for determination of tariff for the period ending 31.3.2024, the Commission shall approve the debt: equity ratio in accordance with clause (1) of this Regulation.

(5) Any expenditure incurred or projected to be incurred on or after 1.4.2024 as may be admitted by the Commission as additional capital expenditure for determination of tariff, and renovation and modernisation expenditure for life extension shall be serviced in the manner specified in clause (1) of this Regulation.

(6) Any expenditure incurred for the emission control system during the tariff period as may be admitted by the Commission as additional capital expenditure for determination of supplementary tariff, shall be serviced in the manner specified in clause (1) of this Regulation."

61. The debt-equity ratio for the 2024-29 tariff period is dealt with in line with Regulation 18 of the 2024 Tariff Regulations. Accordingly, the debt-equity ratio considered for the purpose of computation of the tariff for the 2024-29 period in respect of the Combined Asset are as follows:

Funding	Capital Cost as on 1.4.2024		ACE (2024-29)	Capital Cost as on 31.3.2029	
	(₹ in lakh)	(in %)	(₹ in lakh)	(₹ in lakh)	(in %)
Debt	13.73	0.20	5.53	19.26	0.28
Equity	6779.02	99.80	2.37	6781.39	99.72
Total	**6792.75**	**100.00**	**7.90**	**6800.65**	100.00

Depreciation

62. Regulation 33 of the 2024 Tariff Regulations provides as follows:

*"**33. Depreciation**: (1) Depreciation shall be computed from the date of commercial operation of a generating station or unit thereof or a transmission system or element thereof including communication system. In the case of the tariff of all the units of a generating station or all elements of a transmission system including the communication system for which a single tariff needs to be determined, the depreciation shall be computed from the effective date of commercial operation of the generating station or the transmission system taking into consideration the depreciation of individual units:*

Provided that the effective date of commercial operation shall be worked out by considering the actual date of commercial operation and installed capacity of all the units of the generating station or capital cost of all elements of the transmission system, for which a single tariff needs to be determined.

(2) The value base for the purpose of depreciation shall be the capital cost of the asset admitted by the Commission. In case of multiple units of a generating station or multiple elements of a transmission system, the weighted average life for the generating station or the transmission system shall be applied. Depreciation shall be chargeable from the first year of commercial operation. In the case of commercial

operation of the asset for a part of the year, depreciation shall be charged on a pro rata basis.

(3) The salvage value of the asset shall be considered as 10%, and depreciation shall be allowed up to the maximum of 90% of the capital cost of the asset:

Provided that the salvage value for IT equipment and software shall be considered as NIL and 100% value of the assets shall be considered depreciable;
…….

Provided also that any depreciation disallowed on account of lower availability of the generating station or unit or transmission system, as the case may be, shall not be allowed to be recovered at a later stage during the useful life or the extended life.

(4) …….

(5) Depreciation for Existing Projects shall be calculated annually based on the Straight-Line Method and at rates specified in Appendix-I to these regulations for the assets of the generating station and transmission system:

Provided that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the effective date of commercial operation of the generating station or transmission system, as the case may be, shall be spread over the balance useful life of the assets.
……

(6) Depreciation for New Projects shall be calculated annually based on the Straight-Line Method and at rates specified in Appendix-II to these regulations for the assets of the generating station and transmission system:

Provided that the remaining depreciable value as on 31st March of the year closing after a period of 15 years from the effective date of commercial operation of the generating station or the transmission system, as the case may be, shall be spread over the balance useful life of the assets.
……..

(7) In the case of the existing projects, the balance depreciable value as on 1.4.2024 shall be worked out by deducting the cumulative depreciation as admitted to by the Commission up to 31.3.2024 from the gross depreciable value of the assets.

(8) The generating company or the transmission licensee, as the case may be, shall submit the details of capital expenditure proposed to be incurred during five years before the completion of useful life along with proper justification and proposed life extension. The Commission, based on prudence check of such submissions, shall approve the depreciation by equally spreading the depreciable value over the balance Operational Life of the generating station or unit thereof or fifteen years, whichever is lower, and in case of the transmission system shall equally spread the depreciable value over the balance useful life of the Asset or 10 years whichever is higher.

(9) In case of de-capitalization of assets in respect of generating station or unit thereof or transmission system or element thereof, the cumulative depreciation shall be adjusted by taking into account the depreciation recovered in tariff by the de-capitalized asset during its useful service.

(10) Xxxxxx
(11) Xxxxxx

(12) Xxxxxx"

63. The depreciation has been worked out considering the admitted capital expenditure as on 1.4.2024 and, thereafter, up to 31.3.2029. The Weighted Average Rate of Depreciation (WAROD) has been worked out for the Combined Asset as per the rates of depreciation specified in the 2024 Tariff Regulations.

64. The depreciation allowed for the Combined Asset under Regulation 33 of the 2024 Tariff Regulations for the 2024-29 tariff period are as under:

(₹ in lakh)

	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
A	Opening Gross Block	6792.75	6800.65	6800.65	6800.65	6800.65
B	Addition during the year 2024-29 due to projected ACE	7.90	0.00	0.00	0.00	0.00
C	Closing Gross Block (A+B)	6800.65	6800.65	6800.65	6800.65	6800.65
D	Average Gross Block (A+C)/2	6796.70	6800.65	6800.65	6800.65	6800.65
E	Average Gross Block (90% depreciable assets)	6678.52	6682.47	6682.47	6682.47	6682.47
F	Average Gross Block (100% depreciable assets)	118.18	118.18	118.18	118.18	118.18
G	Depreciable value (excluding IT equipment and software) (E*90%)	6010.67	6014.23	6014.23	6014.23	6014.23
H	Depreciable value of IT equipment and software (F*100%)	118.18	118.18	118.18	118.18	118.18
I	Total Depreciable Value (G+H)	6128.85	6132.40	6132.40	6132.40	6132.40
J	Weighted average rate of Depreciation (WAROD) (in %)	5.42	5.20	5.16	5.16	5.16
K	Lapsed useful life at the beginning of the year (Year)	5.00	6.00	7.00	8.00	9.00
L	Balance useful life at the beginning of the year (Year)	19.00	18.00	17.00	16.00	15.00
M	**Depreciation during the year (D*J)**	**368.59**	**353.36**	**351.07**	**351.07**	**351.07**
N	Cumulative Depreciation at the end of the year	2216.88	2570.25	2921.32	3272.39	3623.47
O	Remaining Aggregate Depreciable Value at the end of the year	3911.96	3562.15	3211.08	2860.01	2508.94

Interest on Loan (IoL)

65. The Petitioner has not claimed IoL considering PSDF grant. As the balance amount after reducing grant is being treated as equity, hence IoL is not allowed for the Combined Asset.

Return on Equity (RoE)

66. Regulations 30 and 31 of the 2024 Tariff Regulations provide as follows:

*"**30. Return on Equity**: (1) Return on equity shall be computed in rupee terms, on the*

equity base determined in accordance with Regulation 18 of these regulations.

Return on equity for existing project shall be computed at the base rate of 15.50% for thermal generating station, transmission system including communication system and run-of river hydro generating station and at the base rate of 16.50% for storage type hydro generating stations, pumped storage hydro generating stations and run-of- river generating station with pondage;

(2) Return on equity for new project achieving COD on or after 01.04.2024 shall be computed at the base rate of 15.00% for the transmission system, including the communication system, at the base rate of 15.50% for Thermal generating station and run-of-river hydro generating station and at the base rate of 17.00% for storage type hydro generating stations, pumped storage hydro generating stations and run-of-river generating station with pondage;

Provided that return on equity in respect of additional capitalization beyond the original scope, including additional capitalization on account of the emission control system, Change in Law, and Force Majeure shall be computed at the base rate of one-year marginal cost of lending rate (MCLR) of the State Bank of India plus 350 basis points as on 1st April of the year, subject to a ceiling of 14%;

Provided further that:

i. In case of a new project, the rate of return on equity shall be reduced by 1.00% for such period as may be decided by the Commission if the generating station or transmission system is found to be declared under commercial operation without commissioning of any of the Free Governor Mode Operation (FGMO), data telemetry, communication system up to load dispatch centre or protection system based on the report submitted by the respective RLDC;

……..……"

"31. Tax on Return on Equity. *(1) The rate of return on equity as allowed by the Commission under Regulation 30 of these regulations shall be grossed up with the effective tax rate of the respective financial year. The effective tax rate shall be calculated at the beginning of every financial year based on the estimated profit and tax to be paid estimated in line with the provisions of the relevant Finance Act applicable for that financial year to the concerned generating company or the transmission licensee by excluding the income of non-generation or non-transmission business, as the case may be, and the corresponding tax thereon.*

Provided that in case a generating company or transmission licensee is paying Minimum Alternate Tax (MAT) under Section 115JB of the Income Tax Act, 1961, the effective tax rate shall be the MAT rate, including surcharge and cess;

Provided further that in case a generating company or transmission licensee has opted for Section 115BAA, the effective tax rate shall be tax rate including surcharge and cess as specified under Section 115BAA of the Income Tax Act, 1961.

(2) The rate of return on equity shall be rounded off to three decimal places and shall be computed as per the formula given below:

Rate of pre-tax return on equity = Base rate / (1-t)

(3) The generating company or the transmission licensee, as the case may be, shall true up the effective tax rate for every financial year based on actual tax paid together with any additional tax demand, including interest thereon, duly adjusted for any refund

of tax including interest received from the income tax authorities pertaining to the tariff period 2024-29 on actual gross income of any financial year. Further, any penalty arising on account of delay in deposit or short deposit of tax amount shall not be considered while computing the actual tax paid for the generating company or the transmission licensee, as the case may be.

Provided that in case a generating company or transmission licensee is paying Minimum Alternate Tax (MAT) under Section 115JB, the generating company or the transmission licensee, as the case may be, shall true up the grossed-up rate of return on equity at the end of every financial year with the applicable MAT rate including surcharge and cess.

Provided that in case a generating company or transmission licensee is paying tax under Section 115BAA, the generating company or the transmission licensee, as the case may be, shall true up the grossed-up rate of return on equity at the end of every financial year with the tax rate including surcharge and cess as specified under Section 115BAA.

Provided that any under-recovery or over recovery of grossed up rate on return on equity after truing up, shall be recovered or refunded to beneficiaries or the long-term customers, as the case may be, on a year-to-year basis."

67. The Petitioner has submitted that MAT rate applies to it. We have considered the Petitioner's submission and have gone through the record.

68. The Petitioner has claimed the RoE considering the base rate of 15.500% and effective tax rate of 17.472% for the 2024-29 tariff period and the same has been considered for the approval of the RoE in the instant order, subject to truing-up.

69. Accordingly, the RoE allowed in respect of the Combined Asset for the 2024-29 tariff period, in accordance with Regulation 31 of the 2024 Tariff Regulations, is as follows:

(₹ in lakh)

Sl. No.	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
A	Opening Equity	6779.02	6781.39	6781.39	6781.39	6781.39
B	Addition due to ACE	2.37	0.00	0.00	0.00	0.00
C	Closing Equity (A+B)	6781.39	6781.39	6781.39	6781.39	6781.39
D	Average Equity (A+C)/2	6780.21	6781.39	6781.39	6781.39	6781.39
E	Return on Equity (Base Rate) (in %)	15.50	15.50	15.50	15.50	15.50
F	Tax Rate applicable (in %)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**1273.46**	**1273.68**	**1273.68**	**1273.68**	**1273.68**

Operation and Maintenance Expenses (O&M Expenses)

70. The O&M Expenses claimed by the Petitioner in respect of the Combined Asset for the 2024-29 tariff period are as follows:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
O&M Expenses	1087.74	1145.64	1204.18	1266.69	1336.34

71. Regulation 36(3) of the 2024 Tariff Regulations provides as follows:

*"**36. Operation and Maintenance Expenses:***

……

*(4) **Transmission system:** (a) The following normative operation and maintenance expenses shall be admissible for the transmission system:*

Particulars	***2024-***	***2025-***	***2026-***	***2027-***	***2028-***
Norms for sub-station Bays (Rs Lakh per bay)					
765 kV	*41.34*	*43.51*	*45.79*	*48.20*	*50.73*
400 kV	*29.53*	*31.08*	*32.71*	*34.43*	*36.23*
220 kV	*20.67*	*21.75*	*22.90*	*24.10*	*25.36*
132 kV and below	*15.78*	*16.61*	*17.48*	*18.40*	*19.35*
Norms for Transformers/Reactors (Rs Lakh per MVA or MVAR)					
O&M expenditure per MVA or per MVAr (Rs Lakh per MVA or per MVAr)	*0.262*	*0.276*	*0.290*	*0.305*	*0.322*
Norms for AC and HVDC lines (Rs Lakh per km)					
Single Circuit (Bundled Conductor with six or more sub-conductors)	*0.861*	*0.906*	*0.953*	*1.003*	*1.056*
Single Circuit (Bundled conductor with four or more sub-conductors)	*0.738*	*0.776*	*0.817*	*0.860*	*0.905*
Single Circuit (Twin & Triple Conductor)	*0.492*	*0.518*	*0.545*	*0.573*	*0.603*
Single Circuit (Single Conductor)	*0.246*	*0.259*	*0.272*	*0.287*	*0.302*
Double Circuit (Bundled conductor with four or more sub-conductors)	*1.291*	*1.359*	*1.430*	*1.506*	*1.585*
Double Circuit (Twin & Triple Conductor)	*0.861*	*0.906*	*0.953*	*1.003*	*1.056*
Double Circuit (Single Conductor)	*0.369*	*0.388*	*0.409*	*0.430*	*0.453*
Multi Circuit (Bundled Conductor with four or more sub-conductor)	*2.266*	*2.385*	*2.510*	*2.642*	*2.781*
Multi Circuit (Twin & Triple Conductor)	*1.509*	*1.588*	*1.671*	*1.759*	*1.851*
Norms for HVDC stations					
HVDC Back-to-Back stations (Rs Lakh per MW)	*2.07*	*2.18*	*2.30*	*2.42*	*2.55*
Gazuwaka BTB (Rs Lakh/MW)	*1.83*	*1.92*	*2.03*	*2.13*	*2.24*
HVDC bipole scheme (Rs Lakh/MW)	*1.04*	*1.10*	*1.16*	*1.22*	*1.28*

Provided that the O&M expenses for the GIS bays shall be allowed as worked out by multiplying 0.70 of the O&M expenses of the normative O&M expenses for bays:

Provided that the O&M expense norms of Double Circuit quad AC line shall be applicable to for HVDC bi-pole line:

Provided that the O&M expenses of ±500 kV Mundra-Mohindergarh HVDC bipole scheme (2500 MW) shall be allowed as worked out by multiplying 0.80 of the normative O&M expenses for HVDC bipole scheme:

Provided further that the O&M expenses for Transmission Licensees whose transmission assets are located solely in NE Region (including Sikkim), States of Uttarakhand, Himachal Pradesh, the Union Territories of Jammu and Kashmir and Ladakh, district of Darjeeling of West Bengal shall be worked out by multiplying 1.50 to the normative O&M expenses prescribed above.

(b) The total allowable operation and maintenance expenses for the transmission system shall be calculated by multiplying the number of substation bays, transformer capacity of the transformer/reactor/Static Var Compensator/Static Synchronous Compensator (in MVA/MVAr) and km of line length with the applicable norms for the operation and maintenance expenses per bay, per MVA/MVAr and per km respectively.

..... "

72. We have considered the Petitioner's submissions. The O&M Expenses for the 2024-29 tariff period have been worked out as per the norms specified in the 2024 Tariff Regulations. The O&M Expenses allowed in respect of the Combined Asset for the 2024-29 tariff period as per Regulation 36 of the 2024 Tariff Regulations are as follows:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
Reactor (MVA) Rourkela: STATCOM system (+/-) 300 VAR including 2x 125 MVAR MSR at Rourkela **(Capacity-850 MVA/MVAR)** Ranchi: STATCOM system (+/-) 300 VAR including 2x 125 MVAR MSR at Ranchi **(Capacity-850 MVA/MVAR)** Jeypore: STATCOM system (+/-) 200 VAR including 2x 125 MVAR MSR at Jeypore and 2x125 MVAR Capacitor **(Capacity-900 MVA/MVAR)** Kishenganj: STATCOM system (+/-) 200 VAR including 2x 125 MVAR MSR at Kishenganj **(Capacity-650 MVA/MVAR)**					
400 kV MVA Capacity (Total)	3250	3250	3250	3250	3250
Norms	0.262	0.276	0.290	0.305	0.322
O&M Expenses (Sub-station Reactor)	**851.50**	**897.00**	**942.50**	**991.25**	**1046.50**
400 kV GIS Sub-station bays: Rourkela: STATCOM bays (2 nos.) at Rourkela Ranchi: STATCOM bays (2 nos.) at Ranchi Kishenganj: STATCOM bays (2 nos.) at Kishenganj					

Jeypore: STATCOM bays (2 nos.) at Jeypore					
Norms	29.53	31.08	32.71	34.43	36.23
O&M Expenses (Sub-station bays)	**236.24**	**248.64**	**261.68**	**275.44**	**289.84**
Total O&M Expenses	**1087.74**	**1145.64**	**1204.18**	**1266.69**	**1336.34**

Interest on Working Capital (IWC)

73. Regulations 34(1)(d), 34(3) and 34(4) of the 2024 Tariff Regulations provides as follows:

> *"**34. Interest on Working Capital**: (1) The working capital shall cover:*
> *……*
>
> *(d) For Hydro generating station (including Pumped Storage Hydro generating station) and Transmission System:*
> *(i) Receivables equivalent to 45 days of annual fixed cost;*
> *(ii) Maintenance spares @ 15% of operation and maintenance expenses including security expenses; and*
> *(iii) Operation and maintenance expenses, including security expenses for one month.*
>
> *……*
>
> *(3) Rate of interest on working capital shall be on a normative basis and shall be considered at the Reference Rate of Interest as on 1.4.2024 or as on 1st April of the year during the tariff period 2024- 29 in which the generating station or a unit thereof or the transmission system including communication system or element thereof, as the case may be, is declared under commercial operation, whichever is later:*
>
> *Provided that in case of truing-up, the rate of interest on working capital shall be considered at Reference Rate of Interest as on 1st April of each of the financial year during the tariff period 2024-29.*
>
> *(4) Interest on working capital shall be payable on a normative basis, notwithstanding that the generating company or the transmission licensee has not taken a loan for working capital from any outside agency."*

74. The Petitioner has considered the rate of the IWC as 11.90% as on 1.4.2024. The IWC has been worked out in accordance with Regulation 34 of the 2024 Tariff Regulations. The Rate of Interest (RoI) considered is 11.90% (SBI 1-year MCLR applicable as on 1.4.2024 of 8.65% plus 325 basis points) for FY 2024-25 to FY 2028-29.

75. The components of the working capital and interest allowed thereon under

Regulation 34 of the 2024 Tariff Regulations for the 2024-29 tariff period in respect of the Combined Asset are as follows:

(₹ in lakh)

Sl. No.	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
A	Working Capital for O&M Expenses (O&M Expenses for one month)	90.65	95.47	100.35	105.56	111.36
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	163.16	171.85	180.63	190.00	200.45
C	Working Capital for Receivables (Equivalent to 45 days of annual fixed cost /annual transmission charges)	345.34	350.91	358.15	365.17	375.14
D	Total Working Capital (A+B+C)	599.15	618.22	639.12	660.73	686.96
E	Rate of Interest for working capital (in %)	11.90	11.90	11.90	11.90	11.90
F	**Interest on Working Capital (D*E)**	**71.30**	**73.57**	**76.06**	**78.63**	**81.75**

Annual Fixed Charges for the 2024-29 Tariff Period

76. The transmission charges allowed in respect of the Combined Asset for the 2024-29 tariff period are as follows:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
Depreciation	368.59	353.36	351.07	351.07	351.07
Interest on Loan	0.00	0.00	0.00	0.00	0.00
Return on Equity	1273.46	1273.68	1273.68	1273.68	1273.68
O&M Expenses	1087.74	1145.64	1204.18	1266.69	1336.34
Interest on Working Capital	71.30	73.57	76.06	78.63	81.75
Total	**2801.09**	**2846.25**	**2904.99**	**2970.07**	**3042.84**

Filing Fee and Publication Expenses

77. The Petitioner has sought reimbursement of the fee paid by it for filing the Petition and publication expenses in accordance with Regulation 94(1) of the 2024 Tariff Regulations.

78. We have considered the Petitioner's submissions. The Petitioner is entitled to reimbursement of the fees paid for filing the Petition and publication expenses incurred on this count directly from the beneficiaries or long-term customers, as the case may be, in terms of Regulation 94(1) of the 2024 Tariff Regulations.

Fees and Charges of Central Transmission Utility of India Limited (CTUIL)

79. The Petitioner has submitted that as per Regulation 99 of the 2024 Tariff Regulations, the fees and charges of the CTUIL may be allowed separately through a separate regulation. The Petitioner has further submitted that in the absence of such regulation, the expenses of CTUIL will be borne by the Petitioner, which will be recovered by the Petitioner as additional O&M Expenses through a separate Petition at the end of the tariff period.

80. It is apt here to refer to Regulation 99 of the 2024 Tariff Regulations which provides as under:

> *"**99. Special Provisions relating to Central Transmission Utility of India Ltd. (CTUIL):** The fee and charges of CTUIL shall be allowed separately by the Commission through a separate regulation:*
>
> *Provided that until such regulation is issued by the Commission, the expenses of CTUIL shall be borne by Power Grid Corporation of India Ltd. (PGCIL) which shall be recovered by PGCIL as additional O&M expenses through a separate petition."*

81. We have considered the Petitioner's submissions and perused Regulation 99 of the 2024 Tariff Regulations. In view of the explicit provision made under Regulation 99 of the 2024 Tariff Regulations, we permit the Petitioner, i.e., PGCIL, to bear the fees and charges expenses of CTUIL and recover the same as additional O&M Expenses through a separate Petition until such a regulation is notified and issued by the Commission.

License Fee and RLDC Fees and Charges

82. The Petitioner has claimed reimbursement of the license fee, RLDC Fees and Charges. The Petitioner is allowed the reimbursement of the license fee in accordance with Regulation 94(4) of the 2024 Tariff Regulations for the 2024-29 tariff period. The Petitioner is also allowed to recover the RLDC fee and charges from the beneficiaries in terms of Regulation 94(3) of the 2024 Tariff Regulations for the 2024-29 tariff period.

Goods and Services Tax

83. The Petitioner has submitted that the transmission charges claimed herein are exclusive of GST, and in case GST is levied in the future, the same shall be additionally paid by the Respondents and the Petitioner be allowed to charge and bill it separately. Petitioner further prays that in case, any additional taxes are paid by the Petitioner on account of the demand from the Government/ statutory authorities, the Commission may allow the same to be recovered from the beneficiaries.

84. We have considered the submissions of the Petitioner. Since GST is not levied on the transmission service at present, we are of the view that the Petitioner's prayer on this count is pre-mature.

Security Expenses, Insurance and Capital Spares

85. The Petitioner has submitted that as per Regulation 36(3)(d) of the 2024 Tariff Regulations, the security expenses and capital spares of more than ₹10 lakh for the transmission system shall be allowed separately after a prudence check.

86. As regards the security expenses of the Combined Asset, the Petitioner has submitted that it will file a separate Petition for the truing up of security expenses from 1.4.2019 to 31.3.2024 under Regulation 35(3)(c) of the 2019 Tariff Regulations and recovery of security expenses from 1.4.2024 to 31.3.2029 under Regulation 36(3)(d) of the 2024 Tariff Regulations. According to the Petitioner, the security expenses regarding the Combined Asset are not claimed in the instant Petition.

87. The Petitioner has also submitted that it has not claimed insurance expenses in the instant Petition and has submitted that it will file a separate Petition for claiming the overall insurance expenses and consequential IWC on the same, considering the

actual insurance expenses incurred by it for FY 2023-24 after escalating the same at 5.25% per annum to arrive at the estimated insurance expense for FYs 2024-25, 2025-26, 2026-27, 2027-28, and 2028-29.

88. The Petitioner has not claimed capital spares for the Combined Asset in the instant Petition for the 2024-29 tariff period. According to the Petitioner, it will file a separate Petition for the capital spares consumed and consequential IWC thereon on an actual basis for the 2024-29 tariff period as per the 2024 Tariff Regulations. The Petitioner has also submitted that it has filed Petition No. 45/MP/2024, claiming therein capital spares for the 2019-24 tariff period as per the 2019 Tariff Regulations.

89. We have considered the Petitioner's submissions and have perused the record. We deem it proper here to refer to Regulation 36(3)(d) of the 2024 Tariff Regulations, which provides as follows:

> *"36(3)*
> *(d) The Security Expenses, Capital Spares individually costing more than Rs. 10 lakh and Insurance expenses arrived through competitive bidding for the transmission system and associated communication system shall be allowed separately after prudence check:*
>
> *Provided that in case of self-insurance, the premium shall not exceed 0.12% of the GFA of the assets insured;*
>
> *Provided that the transmission licensee shall submit the along with estimated security expenses based on assessment of the security requirement, capital spares and insurance expenses, which shall be trued up based on details of the year-wise actuals along with appropriate justification for incurring the same and along with confirmation that the same is not claimed as a part of additional capitalisation or consumption of stores and spares and renovation and modernization."*

90. On perusal of Regulation 36(3)(d) of the 2024 Tariff Regulations and considering the Petitioner's submissions, the Petitioner is allowed to file a single consolidated Petition comprising security expenses, capital spares individually costing more than ₹10 lakh and insurance expenses on an estimated basis in terms of the 2024 Tariff Regulations for the 2024-29 tariff period.

Sharing of Transmission Charges

91. The Petitioner has submitted that for the truing-up of the tariff for the 2019-24 tariff period, the transmission charges will be recovered on a monthly basis in accordance with Regulation 57 of the 2019 Tariff Regulations and will be shared by the beneficiaries and long-term transmission customers. Further, the tariff for the 2024-29 tariff period will be recovered on a monthly basis in accordance with Regulation 78 of the 2024 Tariff Regulations and will be shared by the beneficiaries and long-term transmission customers as per the 2020 Sharing Regulations.

92. We have considered the submissions of the Petitioner. The billing, collection and disbursement of the transmission charges in respect of the transmission assets shall be recovered in terms of provisions of the 2020 Sharing Regulations as provided in Regulation 57 of the 2019 Tariff Regulations for the 2019-24 tariff period and Regulation 78 of the 2024 Tariff Regulations for the 2024-29 tariff period.

93. To summarize:

a) The trued-up Annual Fixed Charges (AFC) approved in respect of the Combined Asset for the 2019-24 tariff period are as follows:

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
AFC Claimed	2499.93	2614.97	2688.20	2730.04	2778.97
AFC Approved	2042.20	2575.09	2687.29	2735.81	2787.11

b) The AFC allowed in respect of the Combined Asset for the 2024-29 tariff period are as follows:

(₹ in lakh)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
AFC Claimed	2802.34	2839.46	2882.16	2947.24	3020.01
AFC Allowed	2801.09	2846.25	2904.99	2970.07	3042.84

94. This order disposes of Petition No. 358/TT/2025 in terms of the above discussions and findings.

Sd/- **(Harish Dudani)** **Member**	**sd/-** **(Ramesh Babu V.)** **Member**